

Question #1 of 45

Question ID: 1586407

Denise Weaver, CFA, manages a mutual fund and several pension plans. When Weaver receives a proxy for stock held by the mutual fund, she gives it to Susan Griffith, her administrative assistant, to vote according to the recommendations of the company's management. When the proxy is for a stock held by one of the pension plans, she asks Griffith to send the proxy on to the pension fund's sponsor to vote. Weaver has:

- A) not violated the Standards with her policies on voting proxies. 
- B) violated the Standards by her policy on mutual fund proxies, but not her policy on pension fund proxies. 
- C) violated the Standards by her policy on mutual fund and pension fund proxies. 

Explanation

Guidance for Standard III(A) Loyalty, Prudence, and Care states that informed and responsible voting of proxies is a responsibility of members and candidates. Neither of Weaver's proxy voting policies meets this Standard. Proxies should not be voted blindly in agreement with company management. Proxies for a pension plan should be voted in the best interests of the beneficiaries, not the plan sponsor. The sponsor's interests will not always be the same as the beneficiaries' interests.

(Module 42.1, LOS 42.b)

Question #2 of 45

Question ID: 1586404

Judy Gonzales is a portfolio manager with Brenly Capital and works on Johnson Company's account. Brenly has a policy against accepting gifts over \$25 from clients. The Johnson portfolio has a fantastic year, and in appreciation, the pension fund manager sent Gonzales a rare bottle of wine. Gonzales should:

- A) return the bottle to the client explaining Brenly's policy. 
- B) present the bottle of wine to her supervisor. 
- C) inform her supervisor in writing that she received additional compensation in the form of the wine. 

Explanation

By not returning the bottle she would be violating the Standard on disclosure of conflicts to the employer, which states that employees must comply with prohibitions imposed by their employer.

(Module 42.1, LOS 42.b)

Question #3 of 45

Question ID: 1586423

Michael Bellow, CFA, CAIA, is an investment banker who is involved with an initial public offering (IPO) of NewCo. Because this is Bellow's first involvement in an IPO, he reports to an experienced supervisor. While reviewing past financial statements provided by NewCo, Bellow suspects that NewCo deliberately overstated its earnings for the past several quarters. Bellow seeks the advice of his firm's highly competent general counsel and follows the advice given without deviation. Based on the general counsel's advice, Bellow consults his immediate supervisor about the suspected overstatement of earnings. After reviewing the situation, Bellow's supervisor explains why NewCo's calculations of its earnings are correct. Bellow realizes that his inexperience and exuberance initially led him to an incorrect conclusion about NewCo's earnings.

Which of the following statements about Bellow's actions involving Standard I(A), Knowledge of the law, and Standard I(C), Misrepresentation, is CORRECT? Bellow:

- A)** violated Standard I(A) but did not violate Standard I(C). 
- B)** violated both Standard I(A) and Standard I(C). 
- C)** did not violate either Standard I(A) or Standard I(C). 

Explanation

Bellow did not violate Standard I(A), Knowledge of the law, because he sought advice of counsel and followed that advice. Bellow did not violate Standard I(C), Misrepresentation, because he made reasonable and diligent efforts to ensure the accuracy of the information and to avoid any material representation.

(Module 42.1, LOS 42: I(A))

Question #4 of 45

Question ID: 1586441

While having a conversation with a prospective client, John Henry states that his performance across all of his past clients over the past five years was over 20%, which was 200 basis points higher than his benchmark. He tells the client that while the benchmark may rise or fall over time, his excess performance will remain consistent. Henry violated the Standards of Professional Conduct because:

- A) he cannot discuss performance without clearly stating that the composite does not conform to GIPS. 
- B) the statement of excess performance is misleading with respect to its certainty. 
- C) he cannot discuss prospective future performance in any manner. 

Explanation

Guaranteeing performance on investments that are inherently volatile is misleading to clients.

(Module 42.2, LOS 42.b)

Question #5 of 45

Question ID: 1586436

Joshua Rosenberg, CFA, is an equity analyst who covers Northwest Implements, a farm implement manufacturer. Northwest's main factory is located in a sparsely inhabited region six hours by automobile from the nearest airport. Northwest has its own corporate jet and a landing strip near its facility. When Rosenberg contacts Northwest's management to arrange a visit for a report he is preparing on the company, Northwest's chief financial officer offers to send Northwest's corporate jet to pick up Rosenberg from an airport near his home and return him home the same evening. Rosenberg estimates that it would require three days for him to make the visit using commercial travel. If Rosenberg makes the trip to Northwest's headquarters on the corporate jet, the Standard concerning independence and objectivity:

- A) permits him to do so. 
- B) requires him or his employer to reimburse Northwest for the cost of the trip. 
- C) requires him to disclose in his report on Northwest the company's payment of his travel expenses. 

Explanation

According to Standard I(B) Independence and Objectivity, a visit by an analyst to an out-of-the-way site may be provided by a company host if commercial transportation is unavailable or inefficient. If the use of such transportation creates the appearance of a conflict of interest or interferes with an analyst's ability to provide unbiased opinions, Standard VI(A) Disclosure of Conflicts would require the analyst to disclose it to his employer and clients.

(Module 42.1, LOS 42: I(B))

Question #6 of 45

Question ID: 1586421

Under Standard IV(A) Loyalty (to employers):

- A) it is recommended that members deliver a copy of the Code and Standards to their employer. 
- B) members are required to deliver a copy of the Code and Standards to their employer. 
- C) members are encouraged to leave an employer that does not adopt the Code and Standards as part of its policies and procedures. 

Explanation

Standard IV(A) Loyalty recommends (not requires) that members and candidates provide their employer with a copy of the Code and Standards and notify their employer that they are required to follow the Code and Standards. There is no recommendation to leave a firm simply because the Code and Standards have not been adopted by the firm in its policies and procedures.

(Module 42.1, LOS 42: I(A))

Question #7 of 45

Question ID: 1586408

Member compliance on issues relating to corporate governance or to soft dollars is primarily addressed by the Standard concerning:

- A) Disclosure of Referral Fees. 
- B) Disclosure of Conflicts to Clients and Prospects. 
- C) Loyalty, Prudence, and Care. 

Explanation

Fiduciary duty on issues relating to corporate governance or to soft dollars is primarily addressed by Standard III(A), Loyalty, Prudence, and Care.

(Module 42.1, LOS 42.b)

Question #8 of 45

Question ID: 1586417

If an analyst suspects a client or a colleague of planning or engaging in ongoing illegal activities, which of the statements about the actions that the analyst should take is *most correct*? According to the CFA Institute Standards of Professional Conduct, the analyst should:

- A)** disassociate from any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical. 
- B)** consult counsel to determine the legality of the activity. 
consult counsel to determine the legality of the activity and disassociate from
- C)** any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical. 

Explanation

According to the procedures for compliance involving Standard I(A), CFA Institute members should determine legality and disassociate from any illegal or unethical activity.

(Module 42.1, LOS 42: I(A))

Question #9 of 45

Question ID: 1586416

Shortly after becoming employed by Valco & Co., an investment banking firm, Stan McDowell, CFA, learns that most of Valco's initial public offerings (IPO) are really put in place to profit management via price manipulation of the shares. McDowell observes an illegal act, sanctioned by senior management, in progress and refuses to sign off on his responsibility. Instead, McDowell takes the documentation to his supervisor and tells him he should sign it in his place. This action is:

- A)** an overreaction. Senior management's sanctioning of the act absolves McDowell from his ordinary responsibility as a CFA Institute member. 
- B)** a violation of the Code and Standards since he is required not to knowingly participate or assist in such an act. 

C) a suitable reaction, and he is in compliance with the Code and Standards.



Explanation

McDowell, by his action in taking the documentation to his supervisor, is knowingly participating in and/or assisting in an illegal act. This is clearly prohibited under Standard I(A), and he is in violation of the Standard.

(Module 42.1, LOS 42: I(A))

Question #10 of 45

Question ID: 1586425

Bob Blanford, CFA, is an investment analyst for a large global brokerage firm. He recently moved to Ragatan, a developing country. As part of conducting a company analysis, Blanford interviews Ravi Shanti, vice president of finance at Starr Industries. Starr is a major industrial firm in Ragatan and a client at Blanford's firm. Based on his analysis, Blanford suspects that Shanti may have deliberately overstated Starr's current earnings and its earnings for the past several quarters. Blanford suspects that Shanti may have violated Ragatan's securities laws. To comply with the Code and Standards, Blanford should *least likely*:

A) determine the legality of the activity, possibly by consulting counsel.



B) take no action.



C) disassociate himself from the client, if the activity is illegal or unethical.



Explanation

Because Blanford suspects Shanti of engaging in ongoing illegal activities, Blanford should take action by determining the legality of the suspected action, disassociating from any illegal activity, and urging his firm to attempt to persuade Shanti to cease such conduct if such an activity is illegal or unethical.

(Module 42.1, LOS 42: I(A))

Question #11 of 45

Question ID: 1586419

Janet Green, CFA, provides investment advice and other services to clients in several countries. She resides in Country A whose securities laws and regulations are less strict than the Code and Standards. She also conducts business with clients in Country B, which has no securities laws or regulations, and in Country C, which has securities laws and regulations that are stricter than the Code and Standards. Which of the following statements is CORRECT? According to CFA Institute Standards of Professional Conduct, Green must adhere to the Code and Standards in:

- A)** Country A and Country B but the law in Country C. 
- B)** Country A but the law in Country B and Country C. 
- C)** Country A, Country B, and Country C. 

Explanation

Green needs to follow Standard I(A) -- Knowledge of the law. In Country A, Green must adhere to the Code and Standards because Country A's laws are less strict. In Country B, Green must also adhere to the Code and Standards because Country B has no securities laws. Because Country C's applicable law is stricter than the requirements of the Code and Standards, Green must adhere to the laws of Country C.

(Module 42.1, LOS 42: I(A))

Question #12 of 45

Question ID: 1586428

Deloris Johnson, CFA, observed that her supervisor has violated a federal securities regulation. Johnson discussed the matter with her company's compliance department but they have taken no action. According to the CFA Institute Code and Standards of Professional Conduct, Johnson is required to:

- A)** report the violation to securities regulators. 
- B)** confront the supervisor and attempt to stop the violation. 
- C)** dissociate from the supervisor's activity. 

Explanation

Johnson must dissociate herself from her supervisor's activity, for example by asking to be reassigned. The Code and Standards do not require Johnson to report the violation to governmental or regulatory organizations unless doing so is required by applicable law. Johnson has attempted to stop the violation by discussing it with her compliance department. She is not required by the Code and Standards to confront the supervisor.

(Module 42.1, LOS 42: I(A))

Question #13 of 45

Question ID: 1586411

The Securities and Exchange Board of India (SEBI) has just enacted a new stock-trading rule. SEBI will give brokers a 10-day grace period, during which violators of the rule will be immediately notified and given a chance to remedy their situation to comply with the new rule. If a CFA Institute member located in India or doing business in India unknowingly violates the rule and then remedies the situation within the 10-day grace period, has the member violated Standard I(A)?

- A) No, because the member remedied the situation. 
- B) Yes, because the member did not maintain knowledge and know of the rule. 
- C) No, because the member unknowingly broke the rule. 

Explanation

Standard I(A) explicitly says that a member shall maintain knowledge and comply with laws, rules, and regulations. By not knowing of the rule, the member broke the standard.

(Module 42.1, LOS 42: I(A))

Question #14 of 45

Question ID: 1586410

According to the CFA Institute Standards of Professional Conduct, Standard I(A), Knowledge of the Law, members shall not knowingly participate or assist in any violations of laws, rules, or regulations. An analyst:

- must report all legal violations to the proper regulatory commission and is held
- A) responsible for participating in illegal acts when the law is evident to anyone knowing the law. 
- is held responsible for participating in illegal acts when the law is evident to
- B) anyone knowing the law and is held responsible for violations by others when the analyst is unaware of the facts giving rise to the violation. 
- is held responsible for participating in illegal acts when the law is evident to
- C) anyone knowing the law and can participate in a violation by having knowledge of the violation and taking no action to stop it or disassociate from it. 

Explanation

If you suspect someone is planning or engaging in illegal activities, you should:

1. Determine the legality of the activities. Consult your supervisor and legal counsel.
2. Take appropriate action. Disassociate, attempt to persuade the perpetrator to stop. CFA Institute does not require you to report them to the authorities, but the law might.

(Module 42.1, LOS 42: I(A))

Question #15 of 45

Question ID: 1586440

Brenda Clark is an investment advisor. Two years ago Clark decided to stop calculating a return composite because of the time required to make those calculations. A prospective client asks Clark what she thinks her performance would have been over the past two years. Clark:

- A)** cannot answer the question, nor can she discuss potential future market returns with the prospective client. 
- B)** cannot answer the question because it would be misleading. 
- C)** can answer the question orally but cannot state the numbers in writing. 

Explanation

Any discussion of past performance would imply that Clark had made some calculations, which would be misleading. However, Clark need not calculate historical performance to be an advisor. She can also talk about her view on the future of capital markets.

(Module 42.2, LOS 42.b)

Question #16 of 45

Question ID: 1586433

If a CFA Institute member knows that a fellow member has violated the Code and Standards, according to Standard I(A) the member is:

- A)** required to dissociate from the activity and strongly encouraged to report it. 
- B)** strongly encouraged to dissociate from the activity. 
- C)** required to report the activity. 

Explanation

Standard I(A) does not require a CFA Institute member to report potential violations by others, but "strongly encourages members and candidates to report potential violations of the Code and Standards committed by fellow members and candidates."

(Module 42.1, LOS 42: I(A))

Question #17 of 45

Question ID: 1586435

According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* a compliance procedure for maintaining independence and objectivity in making investment recommendations or taking investment action?

- A) Maintain files to support investment recommendations. 
- B) Restrict special cost arrangements related to travel. 
- C) Create a restricted list so that the firm disseminates only factual information about a controversial company. 

Explanation

Maintaining files to support investment recommendations is not a compliance procedure for Standard I(B): Independence and Objectivity, but it is a compliance procedure for Standard V(C): Record Retention.

(Module 42.1, LOS 42: I(B))

Question #18 of 45

Question ID: 1586401

June Bird is a pension consultant asked to advise on the Backwater County Pension Plan. Bird notices that 20 percent of the plan's assets are invested in privately held local businesses. Bird is concerned about the lack of liquidity and diversification caused by such an investment. She learns that state law allows investing in local businesses and county law requires at least one-fifth of the plan's assets to be dedicated to investing in local businesses. Bird:

- A) should file a written complaint to the Department of Labor pointing out that the law is in conflict with the Employee Retirement Income Security Act (ERISA). 
- B) should recommend that the trustees resign or risk being sued for violating the Prudent Expert Rule. 
- C) can continue to advise the pension plan as best she can with the restrictions. 

Explanation

According to Standard III(A), Loyalty, Prudence, and Care, Bird can continue to serve as a consultant to the plan, but must follow the applicable law.

(Module 42.1, LOS 42.a)

Question #19 of 45

Question ID: 1586431

Which of the following statements about the CFA Institute Code and Standards is *most* accurate? The Code and Standards:

- A) do not require that members report legal violations to the appropriate governmental or regulatory organization. 
- B) require members to persuade the perpetrator to cease illegal activities. 
- C) prohibit members from accepting gifts that create a conflict with their employer's interest. 

Explanation

The Code and Standards do not *require* members to report violations to legal authorities, but such disclosure may be prudent or required in certain circumstances. They do not require members to quit their jobs or to persuade violators to cease illegal activities. They *do* require that members report the activities to the appropriate person(s) in their own firm and disassociate themselves from the illegal actions. Members must obtain written permission to accept gifts that create a conflict with their employer's interest.

(Module 42.1, LOS 42: I(A))

Question #20 of 45

Question ID: 1586414

Sam Lecheval, a Level I CFA candidate, resides in a European Union (EU) country and does business in Japan. Lecheval is required to maintain knowledge of and comply with all applicable laws, rules, and regulations in:

- A) both the EU and Japan, but not the CFA Institute Standards of Professional Conduct. 
- B) the EU, Japan, and the CFA Institute Standards of Professional Conduct. 
- C) the EU and the CFA Institute Standards of Professional Conduct, but not Japan. 

Explanation

Members and candidates are required to apply the strictest law, rule, or regulation that applies where they reside, applies where they do business, or is included in the CFA Institute standards, in all cases where any of these differ.

(Module 42.1, LOS 42: I(A))

Question #21 of 45

Question ID: 1586434

Kenny Barrett, CFA, is working in the Australian office of American Investments Co. From an informal conversation, Barrett learns that the company's most recent investment report was based on misappropriated information. No one at the Australian office expresses concern, however, because there has been no breach of Australian law. Barrett should:

- A) disassociate himself from the case with a written report to his supervisor. 
- B) do nothing because the branch is outside of U.S. jurisdiction. 
- C) seek advice from company counsel to determine appropriate action. 

Explanation

Kenny's best choice is to seek the company counsel's advice. If Kenny does nothing, he is breaching Standard I(A) Knowledge of the Law. Disassociation is not enough.

(Module 42.1, LOS 42: I(A))

Question #22 of 45

Question ID: 1586409

Nicholas Brynne, CFA, is a fixed-income analyst who trades in mortgage-backed securities (MBS). The MBS industry has seen sweeping regulatory changes since Brynne took his current position, and he now feels his understanding of applicable laws and regulatory standards is dated. To comply with the Code and Standards, Brynne is required to:

- A) have all trades reviewed by his compliance department until he has obtained an expert level of knowledge in compliance. 
- B) rely on his firm's policies and procedures for guidance on legal and regulatory standards. 
- C) update his understanding of applicable laws and regulatory standards relating to his position. 

Explanation

To comply with Standard I(A) Knowledge of the Law, Brynne should update his understanding of applicable laws and regulatory standards relating to his position, although he is not required to be an expert in compliance. Relying only on firm policies and procedures is not sufficient.

(Module 42.1, LOS 42: I(A))

Question #23 of 45

Question ID: 1586406

After a very successful quarter of high investment returns, Judy O'Berry, CFA, receives several gifts from grateful clients. O'Berry considers the gifts to be of novelty or sentimental value only, but she hears rumors that several junior employees are jealous of the attention she received for the group's efforts. She decides to consult the company's compliance rules on gifts and is surprised to learn her firm has no established rules. She consults the Standards of Practice Handbook, and then submits proposed rules on gifts to her company's compliance department. These rules should contain all of the following EXCEPT:

- A) a requirement to disclose the gift. 
- B) restrictions on all types business entertainment. 
- C) a formal value limit based on local customs. 

Explanation

The rules should contain a formal value limit based on local customs. Not all types of business entertainment are forbidden. Only business entertainment which is intended to influence or reward members and candidates should be avoided.

(Module 42.1, LOS 42.b)

Question #24 of 45

Question ID: 1586399

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech startup, zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. Knowing the data is incorrect, Feldman releases Smith's financial data to investors. This action:

- A) constitutes a violation of the Standard concerning duty to employer. 
- B) constitutes a violation of Standard III(D) concerning performance presentation. 
- C) constitutes a violation of his fundamental responsibilities under the Code and Standards. 

Explanation

As a CFA Institute member, Feldman is bound, under Standard I(A), not to "knowingly participate or assist in any violation of such laws, rules, or regulations." Since it should be clear that releasing bogus financial information is in contravention of laws, rules, and regulations, and since he knows that the data is purposely distorted, he must not release the data to the public. Doing so places him in violation of the Code and Standards.

(Module 42.1, LOS 42.a)

Question #25 of 45

Question ID: 1586418

Maria Valdes, CFA, is an analyst for Venture Investments in the country of Newamerica, which has laws prohibiting the acceptance of any gift from a vendor if the gift exceeds US \$250. Valdes has evidence that her Venture Investments colleague, Ernesto Martinez, CFA, has been receiving gifts from vendors in excess of US \$250.

Valdes is obligated to:

- disassociate herself from the activity, urge Venture to persuade Martinez to

A) cease the activity, and inform CFA Institute and regulatory authorities of the violation. 
- B)** disassociate herself from the activity, and urge Venture to persuade Martinez to cease the activity. 
- C)** disassociate herself from the activity, urge Venture to persuade Martinez to cease the activity, and inform CFA Institute of the violation. 

Explanation

Standard I(A), Knowledge of the Law requires members who have knowledge of colleagues engaging in illegal activities to disassociate from the activity and urge their firms to persuade the individual to cease such activity. Reporting to regulatory authorities may be prudent in certain circumstances, but is not required. Reporting to CFA Institute is not required.

(Module 42.1, LOS 42: I(A))

Question #26 of 45

Question ID: 1586439

Travis Brown is a partner in a money management firm. He recently attended a seminar and learned about a quantitative model presented by Dixon. Upon returning to his office, Brown began testing the model and making a few minor alterations. He showed the model to his partners who were impressed and decided to promote the model as proof of the firm's value added. In the firm's next newsletter, Brown included a discussion of the model, the results, and financial data on several stocks selected by the model. These factual data were taken from Standard and Poor's publication. According to the *CFA Institute Standards of Professional Conduct*, which of the following actions is Brown required to take?

- A) Brown must credit S&P, no need to credit Dixon. 
- B) Brown must credit both Dixon and S&P. 
- C) Brown must credit Dixon, no need to credit S&P. 

Explanation

The Standards require members to acknowledge the author of a model, but members are not required to acknowledge information from a recognized statistical and reporting service.

(Module 42.2, LOS 42.a)

Question #27 of 45

Question ID: 1586422

A government committee has concluded that investment company fees should be disclosed to clients each quarter and has proposed new legislation to require this. Currently, the legal requirement is to report such data annually. In compliance with current legal requirements, Dolphin Investments discloses its fees annually. Eugene Shin, CFA, Dolphin's compliance officer, learns of the proposed changes but does not convert Dolphin's reporting to a quarterly basis. Shin's decision not to act:

- A) constitutes professional misconduct as defined in the Code and Standards. 
- B) is a violation of his duty to employer as defined in the Code and Standards. 
- C) is not a violation of the Code and Standards. 

Explanation

The potential change in the law is only a proposal at this stage. There is no violation as long as Dolphin is following the regulations currently in force.

(Module 42.1, LOS 42: I(A))

Question #28 of 45

Question ID: 1586424

The CFA Institute Standards of Practice Handbook requires CFA Institute members to do all the following EXCEPT:

- A) to disclose in writing to the proper regulatory authority all observed violations of the securities laws and regulations. 
- B) to inform employer, clients, and potential clients of benefits received for recommending products or services. 
- C) receive written permission from both their employer and outside clients to engage in investment consulting outside the firm. 

Explanation

Members are not required to report violations of others to regulatory authorities, either verbally or in writing, but such reporting may be prudent.

(Module 42.1, LOS 42: I(A))

Question #29 of 45

Question ID: 1586415

A CFA Institute member is also a member and the portfolio manager of an environmentalist group. In its charter, the environmentalist group lists a group of companies its members should boycott. The CFA Institute member would violate Standard I(A) concerning obeying all rules and regulations if the member:

- A) purchases stock of a boycotted firm for the group's portfolio. 
- B) actively protests against a publicly traded firm boycotted by the group. 
- C) performs either of the activities listed here. 

Explanation

Standard I(A) says the member must be guided by all applicable rules and regulations of professional associations governing the member's professional activities. Purchasing the stock for the firm would be a violation because it involves the member's professional activities and the rules of a group to which the member belongs and works for. Actively protesting would not be covered by that standard.

(Module 42.1, LOS 42: I(A))

Question #30 of 45

Question ID: 1586402

Harold Klein, CFA, is an expert on ethical conduct in the investment banking industry and has been asked by an association of investment bankers to give a presentation on interpreting codes of ethics and standards of practice such as the *CFA Institute Code of Ethics and Standards of Professional Conduct*. In his presentation, Klein makes two key points:

1. Sound ethical judgment requires careful and thoughtful application of ethical standards which are precise and exacting in nature
2. An ethical professional must begin the ethical decision making process by determining the applicable code and standards that govern the situation.

Determine whether Klein's statements are correct or incorrect and state your conclusion.

	<u>Statement 1</u>	<u>Statement 2</u>	
A) Incorrect	Incorrect		
B) Correct	Correct		
C) Incorrect	Correct		

Explanation

Statement 1 is incorrect. Ethical standards and codes of conduct are not mathematically precise and exacting but are ambiguous and open to interpretation. This characteristic requires wisdom and a mature approach on the part of the professional. Statement 2 is correct. In deciding what course of action is ethically sound, a professional must first determine the applicable code and standards and assess their requirements in light of the circumstances.

(Module 42.1, LOS 42.a)

Question #31 of 45

Question ID: 1586443

Rachel Young, CFA, is making preparations to start a competitive business before terminating her relationship with her employer, a large money management company. Young has used excerpts from research reports by others with only a slight change in wording without acknowledging the source. Which of these actions violate the Code and Standards?

- A)** Only one of these actions. 
- B)** Both of these actions. 
- C)** Neither of these actions. 

Explanation

By using excerpts from research reports by others with only a slight change in wording without acknowledging the source, Young committed plagiarism and violated Standard I(C) Misrepresentation. Young did not violate Standard IV(A) Loyalty because preparations to begin an independent business are permitted provided that they do not breach Young's duty of loyalty to her employer. Actions that would violate Standard IV(A) include soliciting clients or taking records or files while still working for the current employer.

(Module 42.2, LOS 42: I(C))

Question #32 of 45

Question ID: 1586437

An analyst has been writing research reports on a company for many years. As part of the analyst's continuing research efforts, the analyst allows the firm to fly him to the firm's headquarters and put him up in the guest quarters the company has for all corporate visitors. According to Standard I(B), Independence and Objectivity, this is:

- A) a violation no matter what the circumstances. 
- B) a violation if the headquarters are within reasonable driving distance from the analyst's home. 
- C) not a violation under any circumstances. 

Explanation

If such a trip is "out-of-the-way", payment by the company for the trip is acceptable. If the headquarters are within reasonable driving distance, the analyst should drive there.

(Module 42.1, LOS 42: I(B))

Question #33 of 45

Question ID: 1586403

Ken James has been an independent financial advisor for 15 years. He received his CFA Charter in 2013, but did not feel it helped his business, so he let his dues lapse this year. He still has several hundred business cards with the CFA designation printed on them. His promotional materials state that he received his CFA designation in 2013. James:

- A) must cease distributing the cards with the CFA designation and the existing promotional materials. 
- B) must cease distributing the cards with the CFA designation, but may continue to use the existing promotional materials. 

- C) may continue to use the existing promotional materials, and may use the cards until his supply runs out—his new cards cannot have the designation.



Explanation

Because he is not currently a dues-paying member, James must stop using the CFA designation immediately. However, the year he was awarded the Charter is a fact.

(Module 42.1, LOS 42.b)

Question #34 of 45

Question ID: 1586432

A CFA Institute member conscientiously maintains records of changes in security regulations. The member notices that his colleagues do not, and does NOT say anything. Is this a violation of Standard I(A)?

- A) No, as long as the colleagues do not violate the new rules.
- B) Yes, and the member should disassociate from these colleagues.
- C) Yes, because the member is bound by the Code of Ethics.



Explanation

The last bullet point of the Code says that a member shall "Maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals." Ignoring the neglect of rule changes of others would clearly be incongruent with this component. As long as the colleagues do not violate the laws, the member does not have to disassociate himself from the colleagues.

(Module 42.1, LOS 42: I(A))

Question #35 of 45

Question ID: 1586426

Mary White, CFA, sits on the board of directors of XYZ Manufacturing, Inc. She discovers that management has knowingly participated in an activity she knows is illegal. According to the CFA Institute Standards of Professional Conduct, White is *least likely* to be required to:

- A) seek legal advice to determine what actions should be taken.
- B) report the violation to the CFA Institute Professional Conduct Program.
- C) disassociate herself from the activity.



Explanation

Members are encouraged -- but not required -- to report violations of others. Standard I(A), Knowledge of the Law. Prohibition against knowingly practicing or assisting in violation of laws, rules, and regulations. If White knows that someone has engaged in a possible illegal activity, she should: (1) report the finding to the appropriate supervisory person at her firm, (2) if the situation is not remedied, disassociate herself from the situation, and (3) seek legal advice to see what other actions, such as notifying the proper regulatory agency, should be taken.

(Module 42.1, LOS 42: I(A))

Question #36 of 45

Question ID: 1586438

To comply with the Standard on independence and objectivity, an analyst making investment recommendations:

- A) must use only his own research. 
- B) may use outside research only after verifying its accuracy. 
- C) must use only his own or his company's research. 

Explanation

Standard I(B), Independence and Objectivity: the analyst is allowed to use outside research only after an insightful review. There are no restrictions regarding the exclusive use of in-house information.

(Module 42.1, LOS 42: I(B))

Question #37 of 45

Question ID: 1586420

Allen Parsons, a CFA candidate, suspects a colleague at his firm of engaging in an illegal activity. Which of the following statements about procedures for compliance involving Standard I(A), Knowledge of the law is NOT correct? Parsons:

- A) is required to report this legal violation to the appropriate governmental or regulatory organizations. 
- B) should urge his firm to attempt to persuade the perpetrator to cease such conduct. 
- C) should consult counsel to determine whether the conduct is, in fact, illegal. 

Explanation

Standard I(A), Knowledge of the law, does not require that Parsons report legal violations to the appropriate governmental or regulatory organizations, but such disclosures may be appropriate under certain circumstances.

(Module 42.1, LOS 42: I(A))

Question #38 of 45

Question ID: 1586412

Jane Dawson, CFA, an analyst at a New York brokerage firm, suspects that Bob Boatman, CFA, another analyst at the same firm, has violated a state securities law. According to the CFA Institute Standards of Professional Conduct, Dawson is:

- A) required to report the suspected violation to CFA Institute. 
- B) required to report the suspected violation to the appropriate state regulatory agency. 
- C) **NOT** required to report the violation to the appropriate governmental or regulatory organizations. 

Explanation

The Code and Standards **do not** require that members report legal violations to the appropriate governmental or regulatory organizations, but such disclosure may be prudent in certain circumstances. Dawson should consult legal counsel and disassociate from the activity.

(Module 42.1, LOS 42: I(A))

Question #39 of 45

Question ID: 1586400

Marc Feldman, CFA, is manager of corporate investor relations for a high-tech startup, zippy.com, in Boise, Idaho. Feldman learns that Larry Smith, controller, is altering the accounting records. He decides that any ramifications from such activity is Smith's problem and does not report this fact. According to the *CFA Institute Code and Standards* he should or is required to do all of the following *EXCEPT*:

- A) report the activity to the FASB or other relevant regulatory body. 
- B) urge Smith to cease altering the accounting records. 
- C) determine legality, consulting counsel if necessary. 

Explanation

As per the *Standards of Practice Handbook* "The Code and Standards do not require that members report legal violations to the appropriate governmental or regulatory organizations, but such disclosure may be prudent in certain circumstances." In this instance, he would likely be better off discussing the matter with the firm's legal counsel and Smith's superiors.

(Module 42.1, LOS 42.a)

Question #40 of 45

Question ID: 1586413

A CFA Institute member works for Secure Securities, Inc., and plays rugby on the firm's rugby team. Secure Securities' team recently played the team of a rival firm. During the game, a fight broke out and the CFA Institute member was the instigator, but no one was seriously hurt. Is this a violation of I(A) concerning maintaining knowledge and complying with laws, rules, and regulations?

- A) No, because a fight at a rugby game is not a professional activity. 
- B) Yes, because the member could have hurt someone in the fight. 
- C) Yes, because the member is bound by the Code of Ethics. 

Explanation

Standard I(A) covers members' professional activity only. Violations outside professional activity that involve fraud, theft or deceit would potentially be violations.

(Module 42.1, LOS 42: I(A))

Question #41 of 45

Question ID: 1586427

CFA Institute believes:

- that a maximum level of professional responsibility and conduct dictates that
 - A) members be aware of and comply with laws, rules, and regulations governing their conduct. 
- that a minimum level of professional responsibility and conduct dictates that
 - B) members be aware of and comply with laws, rules, and regulations governing their conduct. 
- that firms should comply with all domestic laws and regulations and that these
 - C) laws also govern behavior in foreign markets, regardless of foreign laws and requirements. 

Explanation

CFA Institute's Code and Standards dictate a *minimum* level of conduct. Standards should not be based on ethics of upper management and the board of directors of a company. Firms must comply with the strictest applicable standards, whether they be foreign or domestic laws and regulations.

(Module 42.1, LOS 42: I(A))

Question #42 of 45

Question ID: 1586430

Georgia Jones, CFA, is an analyst for Johnson, Thomas & Co. She also serves as an outside director for Dewey Manufacturing, Inc. In the course of her duties, she begins to believe that Dewey's income statement for the most recent period may have been misstated. Georgia should do all of the following EXCEPT:

- A) inform the Securities and Exchange Commission.
- B) consult with Johnson, Thomas' legal counsel.
- C) consult with Dewey Manufacturing's legal counsel.



Explanation

Jones must pursue her concerns about a possible misstatement, because, if material, it may be misleading to investors. Consistent with Standard I(A), Jones must not knowingly participate or assist in a regulatory violation. As long as her concerns exist, she must not validate any financial statements by voting to approve them. In addition she should seek competent legal counsel both at her own firm and at Dewey Manufacturing. She should not go to regulatory bodies until she has more certainty about the possible misstatement and has received counsel that she should proceed.

(Module 42.1, LOS 42: I(A))

Question #43 of 45

Question ID: 1586429

WEB, an investment-banking firm, is the principal underwriter for MTEX's upcoming debenture issue. Wendy Berry, CFA, an analyst with WEB, has found out from an employee in MTEX's programming department that a serious glitch was recently discovered in the software program of their major new product line. In fact, the glitch is so bad that most of their orders have been canceled. Berry checked the debenture's prospectus and found no mention of this development. The red herring prospectus has already been distributed. Berry's *best* course of action is to:

- A) notify potential investors of the omission on a fair and equitable basis. 
- B) inform her immediate supervisor at WEB of her discovery. 
- C) take no action because this is material non-public information. 

Explanation

Berry should report this information only to her immediate supervisor. Subsequently, she and her supervisor may consult with legal counsel concerning the competing issues in this situation. For the present, she should avoid disclosure to colleagues who do not need to know the information and she should also avoid disclosure to clients.

(Module 42.1, LOS 42: I(A))

Question #44 of 45

Question ID: 1586405

Preston Partners is an investment management firm that adopted the Code and Standards as part of its policy manual. Gerald Smithson, CFA, has recently added the stock of Utah Biochemical Company and Norgood PLC to all his client's investment portfolios. Shortly afterwards Utah Biochemical and Norgood announced a merger that increased the share price of both companies. Smithson contends he saw the president of Utah Biochemical dining with the chairman of Norgood, but did not overhear their conversation. Smithson researched both companies extensively and determined that each company was a good investment. He put in a block trade for shares in each company. Preston's policies were not clear in this area as he allocated the shares by starting with his largest client accounts and working down to the small accounts. Some of Smithson's clients were very conservative personal trust accounts, others were pension funds who had aggressive investment objectives. Which standard was NOT broken?

- A) Standard IV(C)—Responsibilities of Supervisors. 
- B) Standard V(A)—Diligence and Reasonable Basis. 
- C) Standard III(C)—Suitability. 

Explanation

Standard V(A)—Diligence and Reasonable Basis was not broken because Smithson conducted thorough and diligent research. Standard III(C)—Suitability, Smithson failed to consider the needs of his conservative and aggressive clients. Standard IV(C)—Responsibilities of Supervisors, Preston Partners didn't have policies explaining how to allocate shares among clients.

(Module 42.1, LOS 42.b)

Milton Baker, CFA, prepares a research report on the dynamics of a stock price. In his study, he uses a considerable number of information sources, both outside sources and his company's own research papers, prepared for both internal and public use. The report will first be distributed at the monthly department meeting and then later will be published on the company's Internet site. He thinks that he may have neglected to mention some of his sources in his reference list but decides that he needs to be concerned about full disclosure of his sources only for the public version of the report, so he will wait to revise his work until after the monthly meeting but before it is published on the internet site. Which Standards does Baker NOT comply with?

- A)** Standard I(C), Misrepresentation, only. 
- B)** Standard I(C), Misrepresentation, I(B), Independence and Objectivity, and I(A), Knowledge of the Law. 
- C)** Standard I(C), Misrepresentation, and I(A), Knowledge of the Law. 

Explanation

Baker has some doubts but does not initiate any action presuming they only apply to the publicly disclosed report. The lack of action is a violation of Standard I(A), Knowledge of the Law. He also violates Standard I(C), Misrepresentation, by failing to properly disclose the sources of his information, where necessary.

(Module 42.2, LOS 42.b)